



PREPARED EXCLUSIVELY FOR

The Opportunity Inside the Operating Budget.

McLeod Health

Hospitals & physician clinics — South Carolina · FY2024 Form 990

Healthcare — Hospitals & Physician Clinics · \$340.82M annual revenue

Contingency-based — a share of verified savings. No savings, no fee.

July 28, 2026 · ERA Group

WHY THIS, WHY NOW

The conditions that let indirect costs drift.

McLeod Health's FY2024 Form 990 reports \$340.8M in revenue with more than \$43M of indirect, third-party spend across insurance, technology, supplies, and outside services — the recurring categories where health-system costs tend to drift while attention stays on clinical priorities.

- \$43.5M of addressable indirect spend is visible in the FY2024 filing — roughly 13% of revenue
- The spend concentrates in categories where ERA's healthcare engagements most consistently find recovery: insurance, supplies, and outside services
- Sector-wide, hospital cost inflation continues to outpace reimbursement growth, putting every non-clinical dollar under closer scrutiny

THE OPPORTUNITY WE SEE — ANNUAL INDIRECT-SPEND RECOVERY

\$4.19M–\$10.53M

Roughly 1.2%–3.1% of revenue — an outside-in estimate from public filings and ERA's category benchmarks, sized in the pages that follow and confirmed only by a no-cost baseline against your actual contracts.

\$510K–\$1.3M

in Insurance

\$2.0M–\$5.6M

in IT Hardware/Services

\$616Mrealized client savings across 6,389
ERA projects

WHERE THE OPPORTUNITY SITS

The largest indirect categories visible from the outside.

These are the categories that stand out in McLeod Health's public filings — not the full review. ERA benchmarks 50-plus indirect categories across seven expense groups; the baseline covers every one that applies. Ordered by size.

CATEGORY	EST. ANNUAL OPPORTUNITY
Insurance HIGH Form 990 line 23 — \$6.37M Premiums reported at \$6.4M in the FY2024 filing. Carrier and broker terms are among the categories ERA re-prices most consistently across healthcare engagements.	\$510K–\$1.3M 8%–20% of category
IT Hardware/Services HIGH Form 990 line 14 — \$25.4M The filing reports \$25.4M in information technology — a scale of licenses, support, and connectivity contracts that a baseline reviews line by line.	\$2M–\$5.6M 8%–22% of category
Office Supplies HIGH Form 990 line 13 — \$4.97M Office expenses of \$5.0M in the filing — high-volume, frequently re-bid spend where consolidated pricing routinely moves.	\$500K–\$1.2M 10%–25% of category
Professional Services MED Form 990 lines 11b–11d — \$4.84M Legal, accounting, and consulting fees totaling \$4.8M in the filing — rate cards and scopes that benchmark cleanly across the sector.	\$390K–\$970K 8%–20% of category
Marketing Services MED Form 990 line 12 — \$1.39M Advertising and promotion of \$1.4M in the filing — agency and media terms with wide market spreads.	\$140K–\$350K 10%–25% of category

Ranges are outside-in estimates for illustration, not quoted savings. Actual figures are established by the no-cost baseline against your contract data.

WHAT WE CAN'T KNOW FROM THE OUTSIDE

An honest account of the estimate's limits.

Public filings show the shape of the spend, not the contracts behind it. Three things an outside-in view cannot establish — and exactly what the baseline resolves:

- 1** Which contracts are already competitively priced — many will be
- 2** Current vendor terms, renewal dates, and commitments
- 3** Where operational or clinical constraints take a category off the table

THE NO-COST BASELINE

A 30-day baseline replaces every estimate above with your actual contract data — at no cost and with no obligation. Most organizations are already competitive in some categories; the baseline names both the real opportunities and the areas already performing well. Nothing changes without your approval — every recommendation is yours to accept or decline.

WHO THIS IS FOR

The leaders who own indirect spend.

Fulton Ervin

Chief Financial Officer

Margin, payer mix, and system-wide cost discipline across hospitals and clinics

HOW ERA WORKS

Contingency-based — a share of verified savings. No savings, no fee.

ERA finds savings across 50-plus indirect categories in seven expense groups; you implement; ERA takes a share of what is verified. There is no upfront cost and no fee without savings.

THE NEXT STEP

A 20-minute call to identify which categories merit a no-cost, 30-day baseline against actual contract data.